

UNION ₹BUDGET 2024-25

POINT, COUNTERPOINT
Far left, PM Modi outside Parliament, July 22; INDIA bloc leaders protesting against the budget, July 24

PTI

Congress leader Jairam Ramesh alleged that the budget's new ELI schemes were a "Cut, Copy, Paste" job from the party's poll manifesto which "botches up the policy". The Centre brushed it aside

bottom of the pyramid. They ensure that such employees are not in their direct payroll but give such jobs to a sub-contractor's subcontractor's subcontractor—three layers down. That attitude must change if it has to be a success." Sabharwal is more optimistic and believes in the long run the programme will be embraced. His reason: "This policy has good odds of creating a virtuous cycle in financing and qualification linkages that create scale. Employers who try interns will soon realise that these programmes pay for themselves with faster hiring times, lower attrition and higher productivity." But he too cautions: "The plumbing of the scheme obviously needs to work. Making sure that the employers are not harassed by it, making sure the kids are chosen fairly. You can monitor all this by getting their digital footprint and digital exhaust through the Digital Public Infrastructure. It does have a lot of moving parts, but it is worth a try."

The other major initiative that has captured public interest is the scheme to upgrade the 1,000 ITIs using a hub and spoke model, aligning their course content with industry needs to address the skill gap. The plan involves developing 200 hubs and 800 spoke ITIs, with a total investment of Rs 60,000 crore over five years. The central government will contribute Rs 30,000 crore, state governments Rs 20,000 crore and the industry (including CSR funds) Rs 10,000 crore. Both these schemes are a tacit admission by the Centre that its earlier efforts on skill development have not yielded much success and the baton is now being passed to the private sector to boost the upskilling drive. Seth admits, "Attempts by the government of India and state governments have not been that successful, so the collaboration is necessary."

Also on the government's agenda is to improve the accessibility to higher education, particularly for socially and economically marginalised sections. To fulfil this, the government has undertaken to provide financial assistance with loans of up to Rs 10 lakh for higher education at domestic institutions. This support will be given directly to 100,000 students annually through e-vouchers, along with an interest subsidy of 3 per cent on the loan amount. In addition, the subsidy plan for scholarships has been revised, doubling the subsidies for education loans granted to students from minority and Scheduled Caste communities. Meanwhile, the Model Skill Loan Scheme to enable students to overcome financial barriers to advanced skill courses has been revised to provide guaranteed loans of up to Rs 7.5 lakh, benefiting approximately 25,000 people annually.